**JATHNIER CORPORATION**
RUBY ST., RGA VILLAGE, DACUDAO,
DAVAO CITY, PHILIPPINES.
(082) 282 2439

# MEMORANDUM

**May 04, 2023** **FA-2023-0504-0027**

**TO:** **RBS BRANCH OPERATIONS (Metro Davao, Mindanao, Cebu & Leyte)**
**SALES AUDIT SECTION / TREASURY SECTION (HO Cashier)**
**HUMAN RESOURCE DEPARTMENT**

**FR:** **GABRIEL L. CUAYCONG/FINANCE & ADMIN DEPARTMENT**

**Cc:** **DLC/MGC/Audit/HRD/File**

**Re:** **JATHNIER CORPORATION STANDARD POLICY ON CASH CONTROL MANAGEMENT SYSTEM**

Moving forward to our corporate vision in business year 2023, Jathnier Corporation's direction is to implement strongly our **INTERNAL CONTROLS**, in particular our **CASH CONTROL MANAGEMENT SYSTEM** in place at Branch Operations Level.

**INTERNAL CONTROLS -** An internal control is a procedure or policy put in place by management to safeguard assets, promote accountability, increase efficiency, and stop fraudulent behavior.

**CASH CONTROL MANAGEMENT SYSTEM -** A major management system in place together with the INVENTORY CONTROL MANAGEMENT SYSTEM. This systems form an important and integral part of RBS STORE MANAGEMENT SYSTEM. Cash Control Management System is a set of methods, procedure & documentation designed to safeguard our Daily Cash Sales movement from Store Level, Accounting up to Fund Safekeeping (Bank). ***(See attached Sales Audit Process Flow 2023)***

## CORPORATE POLICY ON CASH CONTROL MANAGEMENT SYSTEM

1. **Company internal controls are designed to safeguard its assets. Thus, CASH is an asset of the company.**
2. **Non-compliance, infraction or deviation on set of systems and procedures aim to manage RBS Branch daily cash sales is considered a major/grievious offense on the Corporate Code of Discipline (COD), subject for Administrative sanctions and legal implications under applicable laws of The Republic of the Philippines.**
3. **Personnel designated to handle CASH are expected to have full understanding of the branch cash management procedures, responsibility and its accountability, they have to be careful and accurate in preparing necessary documents together with the funds each cut-off and to settle their funds each day without shortages, DSCR & Deposit Slips must be placed together with the cash in a transparent sachet facing front for readability (Sales Packet) before dropping the sealed sales packet to the vault. One DSCR fully reviewed as to accuracy by Branch Supervisor equivalent to one Deposit Slip with affix name of the Cashier as Payor (see item #9). No need to open again the Sales Packet, Branch Supervisor is restricted to open sealed Sales Packet from the vault without explicit approval from Branch Operations Manager. Branch Supervisor must log activity to the Manager's Logbook (time & # of packets) with a witness and directly deposit sealed cash sales packets to depository bank.**
4. **RBS branches must follow strictly branch sales cut off procedure, schedule of fund transfer of Daily Sales Collection through depository banks or fund transfer service provider/pera padala (e.i palawan, cebuana...) and transmit immediately validated deposit slip or transfer receipts together with the Daily Sales Collection Report (DSCR). Immediate transmittal is to take picture of the documents and send to assigned Group Messenger or Viber, after which send hard copies of the documents together with the regular**

submisiion of Branch Reports to Accounting. Duplicate copy of DSCR attached to branch inventory report.

5. If transmission is through fund transfer service provider (pera padala), first option of fund transfer recipient is our official company bank depository account. If not possible through depository bank account, second option is addressed to our HO official cashier personal name.
6. Funds transfered to HO cashier personal name/account. Immediately on the next day, HO cashier must transfer fund to company depository bank account.
7. Daily Sales Collection Report, Deposit Slip or Transfer Receipt will be monitored and reconcile with the bank records in a daily basis by the Sales Audit Section of Finance & Administration Department.
8. All Cash Control Management documentation (DSCR, Deposit Slip or Transfer Receipt) and data therein must be correct and without erasures, and properly acknowledge fully by responsible and authorize personnel by affixing their complete name, signature & date legibly.
9. Bank Deposit Slip must reflect the payor's complete name.
10. Transfer of fund must follow the set schedule deposit cut-off:
    - 10.1. For Metro Davao – Daily Cash Collection to be deposited on the bank in a daily basis ON or BEFORE, 12:00 noon cut-off. On Sundays, fund tranfer will done through fund transfer service provider (pera padala), following the same time cut-off.
    - 10.2. Outside Davao, including Cebu & Leyte - Daily Cash Collection to be deposited on the bank in a daily basis ON or BEFORE, 01:00 in the afternoon cut-off. On Sundays, fund tranfer will done through fund transfer service provider (pera padala) only by RBS Ormoc Branch. For the rest of Leyte Branches, fund transfer of Sunday Daily Cash Collection will be deposited on the next day (Monday) accordingly. following the same time cut-off.
11. The following number of Shifts or DSCR Cut Offs to be included on the Bank Deposit/Transfer:

| | | |
|---|---|---|
| 11.1. | For 24 hours Store: | |
| | Previous Day | Present Day |
| | 1st Cut – 7am to 1 pm | Deposit at 12 noon |
| | 2nd Cut – 1pm to 7pm | |
| | 3rd Cut – 7pm to 10pm | |
| | 4th Cut – 10pm to 7am | |
| 11.2. | For Non-24 hours Store: | |
| | Previous Day | Present Day |
| | 1st Cut – 7am to 1 pm | Deposit at 12 noon |
| | 2nd Cut – 1pm to 7pm | |
| | 3rd Cut – 7pm to 10pm | |

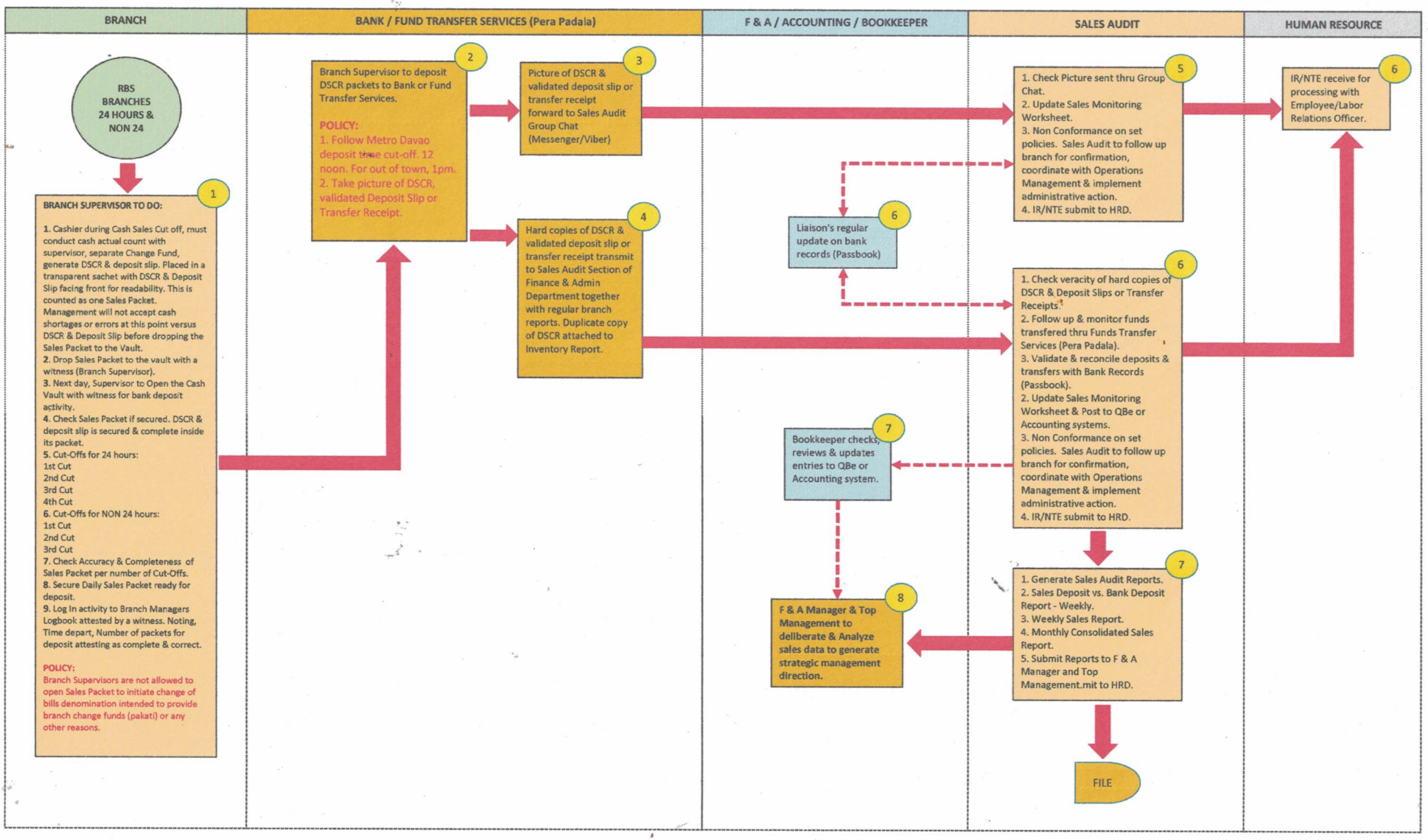
12. In cases, for 24 hours Store, when Bank or Transfer Services is Off-line during the schedule deposit time. Supervisors or designated personnel to deposit Daily Cash Sales are advised to return to assigned store and deposit Daily Cash Sales on a later time of the day. The 1st Cut Off of the present day will be included already on the Bank Deposit or Transfer.
13. Sales Audit Section will make standard daily follow up to branch supervisors before (10 am) and after deposit (1pm) to monitor movement of Cash as part of Cash Control Management procedure.

Since CASH is an important asset of the company, as stated on Policy #2, once deviations on this Cash Control Management Policies has been made, it is considered already as a major infraction or grievious offense. It is imperative that an administrative procedure will follow immediately under the Corporate Code of Discipline to establish sanction or legal action.

Strict compliance is required for this Policies & Guidelines, and this will officially take effect on **May 08, 2023**. Any clarification on this matter please communicate accordingly.

Noted:

**Gabriel L. Cuaycong**
F & A Manager/RBS-JC

**Melina G. Comedido**
VP/Operations Director-JC

# SALES AUDIT SECTION PROCESS FLOW 2023